

A POOR VALUATION OF “FREE TIME” LEADS TO POORNESS

Rich or poor, time is equally possessed, shared, and consumed by all. Every day, you use it. I use it. Your neighbor uses it. No one gets more and no one gets less. Twenty-four hours for everybody. No one has an unfair advantage. You, me, we all have 24 hours to consume, expire, and spend. Time is the ultimate equalizer.

Then why do so few get rich while the rest wallow from paycheck to paycheck? The distinction lies in the valuation of free time, the chosen roadmap, and the acquisition of parasitic debt. Guess the behaviors—rich or poor?

- This person sleeps until noon.
- This person watches hours of reality TV.
- This person drives two hours to save \$20.
- This person buys airline tickets with multiple layovers to save \$100.
- This person spends hours surfing social networks and gossip blogs.
- This person is a Level 10 Druid in World of Warcraft.
- This person watches every Chicago Cubs game (just kidding, all you loyal Cubs fans).

Behind the tangled roots of poorness, you will find a poor valuation of free time, which breeds from bad choices. “Time losers” are poor evaluators of time. These are the people camped out at Wal-Mart at 4 a.m. waiting to grab the early-bird sales. These are the people sleeping outside Best Buy hoping to score a free 32" HDTV. These are the people waiting outside IKEA hoping to get a free breakfast.

Time losers are also inconvenient savers. The inconvenient saver desperately clutches onto every dollar, fearful it may never return. Extreme inconvenience is never a match for saving money. For example, an old friend of mine wanted an exercise bike and found it on sale at a store miles away her home. I told her just to buy the darn thing locally and pay the higher price, which was an extra \$29. Nope, she was an inconvenient saver. Instead, she drove one hour to save \$29. Total time spent? Two and a half hours. Subtract gas and the total valuation of her time is about \$5 per hour. Last I checked, she doesn't work for \$5 per hour, but has no problem wasting her free time at this rate. The inconvenient saver gladly wastes time to save money. From plane tickets with multiple stops to shared-shuttle airport service, inconvenience is no match for saving a few bucks an hour.

If these people had three months to live, would they be outside Best Buy in a sleeping bag waiting? Six months? Six years? At what threshold will these people pack up their sleeping bag on the sidewalk and say, “Gee, what the hell am I doing sleeping on a sidewalk outside of an electronics store? Is this a smart use of my life?” Sidewalkers sleep on sidewalks.

Fastlaners exalt time as their primary consideration in decision-making because it's our most valued asset. *Fastlaners are frugal with time, while Slowlaners are*